

—less than a fifth of the figure two years before. It had a good recovery thereafter, but the high of 24 in May 1971 was still only 60% of the 1968 closing price. McGraw Edison gave a better account of itself—declining to 22 in 1970 and recovering fully to 41½ in May 1971.*

McGraw-Hill continues to be a strong and prosperous company. But its price history exemplifies—as do so many other cases—the speculative hazards in such stocks created by Wall Street through its undisciplined waves of optimism and pessimism.

Pair 7: National General Corp. (A Large Conglomerate) and National Presto Industries (Diverse Electric Appliances, Ordnance)

These two companies invite comparison chiefly because they are so different. Let us call them “General” and “Presto.” We have selected the end of 1968 for our study, because the write-offs taken by General in 1969 made the figures for that year too ambiguous. The full flavor of General’s far-flung activities could not be savored the year before, but it was already conglomerate enough for anyone’s taste. The condensed description in the *Stock Guide* read “Nation-wide theatre chain; motion picture and TV production, savings and loan assn., book publishing.” To which could be added, then or later, “insurance, investment banking, records, music publishing, computerized services, real estate—and 35% of Performance Systems Inc. (name recently changed from Minnie Pearl’s Chicken System Inc.).” Presto had also followed a diversification program, but in comparison with General it was modest indeed. Starting as the leading maker of pressure cookers, it had branched out into various other household and electric appliances. Quite differently, also, it took on a number of ordnance contracts for the U.S. government.

Our Table 18-7 summarizes the showing of the companies at the end of 1968. The capital structure of Presto was as simple as it could be—nothing but 1,478,000 shares of common stock, selling in the market for \$58 million. Contrastingly, General had more than twice as many shares of common, plus an issue of convertible preferred, plus three issues of stock warrants calling for a huge amount of common, plus a towering convertible bond issue (just given in exchange for stock of an insurance company), plus a goodly sum of nonconvertible bonds. All this added up to a market capitalization of \$534 million, not counting an impending issue of